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JAVA PROJECT REPORT ON

Income Tax Estimation and Deduction Calculation System

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Academic Year: **2025 – 2026**

APRIL 2026

Semester: **II**

DECLARATION

I hereby declare that the project entitled “Income Tax Estimation and Deduction Calculation System ” submitted in partial fulfillment of the requirements for the course **I B.SC IT-A** is a **record of my original work** carried out under the guidance of **DHILEEBAN A** Technical Trainer, Technical Department, KG College of Arts and Science.

I further declare that this project has not been submitted previously, either in part or in full, for the award of any degree, diploma, or other similar title, at this or any other institution.

I have acknowledged all sources of information used in this project wherever applicable.

April 2026

Coimbatore

HARINI SHREE K

CERTIFICATE

This is to certify that the project entitled **Income Tax Estimation and Deduction Calculation System “”** is a **bona fide work** carried out by **HARINI SHREE , I B.SC IT -A**, **KG College of Arts & Science**, in partial fulfillment of the requirements for the course **JAVA PROGRAMMING**.

This project has been completed under my supervision and guidance during the academic period **April 2026**.

Place:

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ABSTRACT

The Income Tax Estimation and Deduction Calculation System is designed to simplify the process of calculating an individual's taxable income and applicable tax liability. This system helps users estimate their income tax based on current tax rules by considering various income sources such as salary, business income, and other earnings. It also incorporates different deductions and exemptions available under tax laws, including investments, insurance, and savings schemes.

The system provides an easy-to-use interface where users can input their financial details and receive accurate tax calculations instantly. It minimizes manual errors, saves time, and improves transparency in tax computation. Additionally, the system can generate detailed reports showing gross income, total deductions, taxable income, and final tax payable. Overall, this application is useful for individuals, students, and small businesses to plan their finances effectively and ensure compliance with tax regular.

1. INTRODUCTION

The Income Tax Estimation and Deduction Calculation System is developed to assist individuals in understanding and calculating their income tax in a simple and efficient manner. In today's financial environment, calculating tax manually can be complex and time-consuming due to changing tax rules, multiple income sources, and various deductions available under the law. This system aims to automate the entire process, making it easier for users to estimate their tax liability accurately.

The application allows users to enter details such as income, investments, and eligible deductions, and then processes this information to compute the total taxable income and tax payable. It follows the latest tax regulations and ensures that users can make informed financial decisions. By reducing calculation errors and providing quick results, this system is beneficial for taxpayers, students, and professionals who need a reliable and user-friendly solution for tax estimation and planning.

1.1 Objective

The main objective of the Income Tax Estimation and Deduction Calculation System is to provide an accurate, efficient, and user-friendly solution for calculating income tax. The system aims to simplify the complex process of tax computation by allowing users to easily input their income details and applicable deductions. It seeks to reduce manual errors, save time, and ensure transparency in calculating taxable income and final tax liability.

Another objective is to help users understand the impact of various deductions, exemptions, and investments on their tax amount, enabling better financial planning. The system is also designed to follow current tax rules and regulations, ensuring reliable results. Overall, it aims to assist individuals, students, and small businesses in managing their taxes effectively and making informed financial decisions.

1.2 Overview

The Income Tax Estimation and Deduction Calculation System is a software application developed to provide a comprehensive solution for calculating income tax and managing deductions. It integrates various components such as data input, processing, and report generation to deliver accurate and quick tax estimations. The system allows users to enter details of their income sources, investments, and eligible deductions, and then processes this data according to current tax rules to determine the taxable income and final tax liability.

The application is designed with a user-friendly interface that ensures ease of use for both beginners and experienced users. It maintains organized records of financial data and provides clear outputs, including detailed summaries of income, deductions, and tax payable. By automating the tax calculation process, the system enhances accuracy, reduces effort, and supports effective financial planning. Overall, it serves as a reliable tool for individuals and small businesses to handle their tax-related activities efficiently.

1.3 Features

The Income Tax Estimation and Deduction Calculation System offers a range of features designed to simplify and enhance the tax calculation process. It provides an easy-to-use interface where users can enter details of various income sources such as salary, business income, and other earnings. The system automatically calculates total income and applies relevant deductions and exemptions based on current tax rules. It supports multiple deduction categories including investments, insurance, and savings schemes, helping users maximize their tax benefits.

Additionally, the system ensures accurate and fast computation, reducing the chances of manual errors. It generates detailed reports that clearly display gross income, total deductions, taxable income, and final tax payable. The application may also include data storage capabilities for future reference and comparison. Overall, these features make the system efficient, reliable, and useful for effective tax planning and management.

2. PROGRAM ANALYSIS

The Income Tax Estimation and Deduction Calculation System is analyzed to understand the requirements, inputs, processes, and expected outputs involved in tax computation. The system primarily focuses on collecting user data such as personal details, income from various sources, and information related to investments and eligible deductions. These inputs are essential for determining the total income and applicable tax benefits.

2.1 Problem Definition

The Income Tax Estimation and Deduction Calculation System is a software application developed to calculate an individual's income tax based on their total earnings and eligible deductions. The program is designed to take user inputs such as income from various sources, investment details, and applicable exemptions, and then process this information according to current tax rules and regulations.

The system performs calculations to determine gross income, total deductions, taxable income, and the final tax payable using predefined formulas and tax slabs. It provides accurate and quick results while reducing manual effort and errors. The program also generates a clear summary or report of the entire calculation process for better understanding and record-keeping. Overall, it serves as an efficient tool for tax estimation, helping users plan their finances and ensure compliance with tax requirements.

2.2 Project

The Income Tax Estimation and Deduction Calculation System is a structured software program designed to automate the process of computing income tax. The program is divided into different modules such as input handling, data processing, and result generation to ensure smooth and efficient operation. It accepts user inputs including income details, investment information, and eligible deductions, which are then processed using predefined tax rules and formulas.

The program applies appropriate tax slabs and deduction policies to calculate the total taxable income and the final tax payable. It also includes validation mechanisms to ensure correct data entry and prevent errors during calculation. Overall, the program provides a reliable, fast, and user-friendly approach to income tax calculation and financial planning

2.3 Scopes and Limitations

Scope:

The scope of the Income Tax Estimation and Deduction Calculation System covers the automation of income tax calculation for individuals and small-scale users. The system is designed to handle various types of income such as salary, business income, and other sources, along with multiple deductions and exemptions as per current tax rules. It provides users with an efficient platform to estimate their taxable income and final tax liability accurately.

Limitations:

The Income Tax Estimation and Deduction Calculation System, while useful, has certain limitations that may affect its overall functionality. The system mainly provides estimated results based on predefined tax rules, which may change over time, requiring regular updates to maintain accuracy. It depends entirely on the correctness of user input, and any incorrect or incomplete data entered by the user can lead to inaccurate tax calculations.

3. SYSTEM DESIGN

The system design of the Income Tax Estimation and Deduction Calculation System is structured to ensure efficient data handling, accurate processing, and clear output generation. The system is divided into major components such as the user interface, input module, processing module, and output module. The user interface is designed to be simple and user-friendly, allowing users to easily enter details related to income, investments, and deductions.

The input module is responsible for collecting and validating user data to ensure correctness and completeness. The processing module performs the core functionality by applying tax rules, calculating gross income, deducting eligible exemptions, and determining the taxable income and final tax payable. The output module generates detailed reports that display all calculations in an understandable format.

3.1 Modules

The Income Tax Estimation and Deduction Calculation System is organized into several modules to ensure smooth and efficient functioning. The User Interface Module allows users to interact with the system by entering income details, deductions, and other required information in a simple and user-friendly manner. The Input Module is responsible for collecting and validating the data provided by the user to ensure accuracy and completeness.

2. Inventory Management Module

The Inventory Module in the Income Tax Estimation and Deduction Calculation System is responsible for managing and maintaining all tax-related data required for accurate calculations. This includes storing information about different income categories, tax slabs, deduction types, exemption limits, and applicable rules. The module acts as a centralized database that ensures all necessary data is organized and readily available for processing.

It helps in updating tax rates and deduction policies whenever there are changes in government regulations, ensuring the system remains up-to-date and reliable. The module also maintains records of user inputs and previous calculations, which can be used for reference and comparison. By efficiently managing data, the Inventory Module improves the accuracy, consistency, and performance of the overall system, making tax estimation more effective and dependable.

4. User Interface Module

The User Interface Module of the Income Tax Estimation and Deduction Calculation System is designed to provide a simple, interactive, and user-friendly environment for users to interact with the application. It allows users to easily enter their personal details, income information, and eligible deductions through well-organized forms and input fields. The interface is developed in a way that minimizes complexity, making it accessible even for users with limited technical knowledge.

This module also provides clear navigation options, guiding users through different sections of the system such as data entry, calculation, and report viewing. It displays the results in a structured and easy-to-understand format, including summaries of income, deductions, and tax payable. Additionally, it may include features like input validation messages, error alerts, and help instructions to improve user experience. Overall, the User Interface Module ensures smooth interaction between the user and the system, enhancing usability and efficiency.

5. Data Handling Module

The Data Handling Module in the Income Tax Estimation and Deduction Calculation System is responsible for managing all data-related operations efficiently and securely. This module collects, processes, stores, and retrieves user data such as income details, deduction information, and calculation results. It ensures that the data entered by users is properly validated, organized, and maintained for accurate tax computation.

4. METHODOLOGY

The methodology of the Income Tax Estimation and Deduction Calculation System follows a systematic approach to ensure accurate and efficient tax computation. The process begins with data collection, where users provide necessary details such as personal information, income from various sources, and eligible deductions. This input data is then validated to ensure correctness and completeness before proceeding to the next stage.

4.1. Problem Analysis

The program analysis of the Income Tax Estimation and Deduction Calculation System focuses on understanding the functional requirements and workflow needed to perform accurate tax calculations. The system requires user inputs such as income details from various sources, investment information, and eligible deductions. These inputs are analyzed to determine how they contribute to the overall tax computation process.

The system processes the collected data by applying appropriate tax rules, deduction limits, and tax slab rates. It performs calculations to derive gross income, total deductions, taxable income, and the final tax payable. During this stage, validation checks are included to ensure data accuracy and to handle incorrect or incomplete inputs effectively.

4.2. System Design

The system design of the Income Tax Estimation and Deduction Calculation System is developed to ensure a well-structured, efficient, and reliable workflow for tax computation. The design is divided into key components including the user interface, input handling, processing unit, and output generation. The user interface provides a simple and interactive platform where users can enter income details, deductions, and other required information.

The input component is responsible for collecting and validating user data to ensure accuracy and completeness. The processing unit performs the core operations by applying tax rules, calculating total income, subtracting eligible deductions, and determining the taxable income and final tax liability based on applicable tax slabs. The output component presents the results in a clear and organized format, including detailed summaries and reports.

4.3. Program Development

The program development of the Income Tax Estimation and Deduction Calculation System involves a structured approach to designing, coding, and testing the application. Initially, the system requirements are analyzed to understand the necessary inputs, processes, and outputs related to income tax calculation. Based on this analysis, the program structure is planned by dividing it into modules such as user interface, input validation, processing, and report generation.

During the development phase, appropriate programming languages and tools are used to implement the logic for tax calculation, including handling income details, applying deductions, and computing tax based on current tax slabs. Proper coding standards and modular programming techniques are followed to ensure readability, maintainability, and efficiency of the program.

4.4. Testing and Validation

The testing and validation phase of the Income Tax Estimation and Deduction Calculation System is carried out to ensure that the application functions correctly, accurately, and reliably. In this phase, different types of testing such as unit testing, integration testing, and system testing are performed to verify that each module works properly both individually and as a whole. Test cases are designed using various input scenarios, including valid, invalid, and boundary values, to check the system's performance under different conditions.

Validation is done by comparing the system-generated results with manually calculated tax values or standard references to ensure correctness. The system is also tested for input validation, error handling, and user interface functionality to ensure a smooth user experience. Any errors or bugs identified during testing are corrected and retested to achieve accurate results. Overall, this phase ensures that the system is dependable, efficient, and ready for real-world use in tax estimation and financial planning.

4.5. Result and Documentation

The result of the Income Tax Estimation and Deduction Calculation System demonstrates its ability to accurately compute taxable income and final tax liability based on user-provided data. The system successfully processes various inputs such as income details and eligible deductions, and generates clear outputs including gross income, total deductions, taxable income, and tax payable. The results are displayed in a well-organized format, making it easy for users to understand and analyze their tax information.

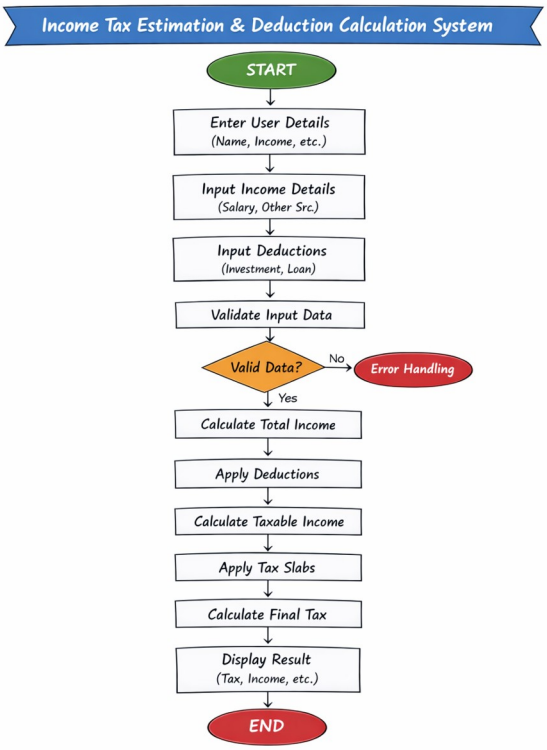
The documentation of the system includes detailed descriptions of all modules, system design, methodology, and program flow. It also contains user manuals that guide users on how to operate the system effectively, along with technical documentation for developers to understand the code structure and functionality. Test cases, sample inputs and outputs, and error handling procedures are also documented to ensure transparency and reliability. Overall, the result and documentation confirm that the system is efficient, user-friendly, and suitable for practical tax estimation and financial planning.

4.6. Algorithms

The algorithm for the Income Tax Estimation and Deduction Calculation System follows a step-by-step procedure to compute the taxable income and final tax liability accurately. Initially, the system starts by collecting user inputs such as personal details, income from various sources, and eligible deductions. Once the data is entered, the system validates the inputs to ensure they are complete and correct.

Next, the system calculates the total or gross income by summing up all sources of income. After that, it applies the eligible deductions and exemptions to determine the taxable income. Based on the taxable income, the system then applies the appropriate tax slab rates to calculate the tax amount. If applicable, additional charges such as cess or surcharge are also added to compute the final tax payable.

4.7. Flowchart



5. SOURCE CODE

```
import java.util.Scanner;
public class IncomeTaxSystem {
   public static void main(String[] args) {
      Scanner sc = new Scanner(System.in);

      double salary, otherIncome, totalIncome;
      double deductions, taxableIncome, tax = 0;

      // Input Section
      System.out.print("Enter Salary Income: ");
      salary = sc.nextDouble();

      System.out.print("Enter Other Income: ");
      otherIncome = sc.nextDouble();

      System.out.print("Enter Total Deductions: ");
      deductions = sc.nextDouble();

      // Processing Section
      totalIncome = salary + otherIncome;
      taxableIncome = totalIncome - deductions;

      if (taxableIncome < 0) {
         taxableIncome = 0;
      }
```

```
        // Tax Calculation (Example Slabs)
        if (taxableIncome <= 250000) {
            tax = 0;
        } else if (taxableIncome <= 500000) {
            tax = (taxableIncome - 250000) * 0.05;
        } else if (taxableIncome <= 1000000) {
            tax = (250000 * 0.05) + (taxableIncome - 500000) * 0.20;
        } else {
            tax = (250000 * 0.05) + (500000 * 0.20) + (taxableIncome - 1000000) * 0.30;
        }

        // Output Section
        System.out.println("\n----- TAX DETAILS -----");
        System.out.println("Total Income: " + totalIncome);
        System.out.println("Deductions: " + deductions);
        System.out.println("Taxable Income: " + taxableIncome);
        System.out.println("Tax Payable: " + tax);

        sc.close();
    }
}
```

6. INPUT AND OUTPUT SCREENS

* Main Menu Screen

Enter Salary Income: 600000

Enter Other Income: 100000

Enter Total Deductions: 150000

----- TAX DETAILS -----

Total Income: 700000.0

Deductions: 150000.0

Taxable Income: 550000.0

Tax Payable: 32500.0

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7. DISCUSSION & CONCLUSION

7.1 Discussion

The Income Tax Estimation and Deduction Calculation System plays an important role in simplifying the complex process of tax calculation. Through this system, users can easily understand how their income, deductions, and tax slabs affect their final tax liability. The application reduces the need for manual calculations, thereby minimizing errors and saving time. It also provides transparency by clearly showing each step involved in the tax computation process.

During the development and testing of the system, it was observed that the modular approach improves efficiency and makes the system easy to maintain and update. The system performs well for standard tax calculations and is especially useful for students, individuals, and small businesses who need a basic understanding of their taxes. However, it may require enhancements to handle more complex tax scenarios and frequent updates to reflect changes in tax laws.

7.2 Conclusion

The Income Tax Estimation and Deduction Calculation System successfully provides a simple, efficient, and accurate method for calculating income tax. It helps users understand their taxable income, apply relevant deductions, and determine the final tax liability with ease. By automating the calculation process, the system reduces manual effort, minimizes errors, and saves valuable time.

The system is designed with a user-friendly interface and modular structure, making it easy to use, maintain, and update. It is especially beneficial for individuals, students, and small businesses for basic tax estimation and financial planning. Although it has some limitations in handling complex tax scenarios, it serves as a reliable tool for general tax calculations.

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